



Ivy Peak Co-Invest Re Limited

Consolidated financial statements

As of December 31, 2025, and 2024

INDEX TO CONSOLIDATED FINANCIAL STATEMENTS

Independent auditor's report

Consolidated financial statements

Page

Consolidated balance sheets as of December 31, 2025, and 2024	<u>1</u>
Consolidated statements of income (loss) for the years ended December 31, 2025, and 2024	<u>2</u>
Consolidated statements of comprehensive income (loss) for the years ended December 31, 2025, and 2024	<u>3</u>
Consolidated statements of shareholder's equity for the years ended December 31, 2025, and 2024	<u>4</u>
Consolidated statements of cash flows for the years ended December 31, 2025, and 2024	<u>5</u>

Notes to consolidated financial statements

(1) Nature of business and basis of presentation	<u>6</u>
(2) Significant accounting policies	<u>7</u>
(3) Investments	<u>16</u>
(4) Derivatives	<u>18</u>
(5) Fair value disclosure of financial instruments	<u>18</u>
(6) Composition of other assets, liabilities, insurance expenses, and general and administrative expenses	<u>22</u>
(7) Policy liabilities	<u>23</u>
(8) Shareholder's equity	<u>28</u>
(9) Income taxes	<u>28</u>
(10) Reinsurance	<u>29</u>
(11) Dividend restrictions and statutory information	<u>30</u>
(12) Commitments and contingencies	<u>31</u>
(13) Subsequent events	<u>31</u>

INDEPENDENT AUDITOR'S REPORT

To the Board of Directors of
Ivy Peak Co-Invest Re Limited

Opinion

We have audited the consolidated financial statements of Ivy Peak Co-Invest Re Limited and subsidiaries (the "Company"), which comprise the consolidated balance sheets as of December 31, 2025 and 2024, and the related consolidated statements of income (loss), comprehensive income (loss), shareholder's equity, and cash flows for the years then ended, and the related notes to the consolidated financial statements (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2025 and 2024, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Deloitte & Touche LLP

April 23, 2026

IVY PEAK CO-INVEST RE LIMITED AND SUBSIDIARIES

CONSOLIDATED BALANCE SHEETS

	As of December 31,	
	2025	2024
(\$ in thousands)		
Assets		
Investments:		
Fixed maturity securities, available-for-sale, at fair value (amortized cost: \$5,000 and \$10,729, respectively)	\$ 5,024	\$ 10,662
Funds withheld receivable at interest (portion at fair value: \$(34,008) and \$(38,621), respectively.)	3,470,664	3,593,256
Other investments at fair value	21,353	17,804
Total investments	3,497,041	3,621,722
Cash and cash equivalents	16,451	82,512
Accrued investment income	94	96
Reinsurance receivable	25,351	25,777
Cost of reinsurance assets	435,351	423,103
Other assets	379	2,665
Total assets	3,974,667	4,155,875
Liabilities		
Policy liabilities	3,571,573	3,714,860
Other liabilities	2,662	2,081
Reinsurance liabilities	52,367	62,249
Total liabilities	3,626,602	3,779,190
Commitment and contingencies (Note 12)		
Shareholder's equity		
Common stock	250	250
Additional paid-in capital	319,059	375,059
Retained earnings (deficit)	56,435	23,490
Accumulated other comprehensive income (loss)	(27,679)	(22,114)
Total shareholder's equity	348,065	376,685
Total liabilities and shareholder's equity	\$ 3,974,667	\$ 4,155,875

See accompanying notes to consolidated financial statements.

IVY PEAK CO-INVEST RE LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF INCOME (LOSS)

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Revenues		
Premiums	\$ —	\$ 4,493
Policy fees	153,224	159,395
Net investment income (loss)	225,473	221,684
Net investment-related gains (losses)	5,677	(186,938)
Total revenues	384,374	198,634
Benefits and expenses		
Policy benefits and claims (remeasurement (gain) loss on policy liabilities (\$— and \$—, respectively.)	320,420	322,016
Amortization of cost of reinsurance assets	(12,249)	3,547
Insurance expenses	16,333	13,929
General and administrative expenses	2,912	2,781
Total benefits and expenses	327,416	342,273
Income (loss) before income taxes	56,958	(143,639)
Income tax expense (benefit)	513	1,210
Net income (loss)	\$ 56,445	\$ (144,849)

See accompanying notes to consolidated financial statements.

IVY PEAK CO-INVEST RE LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME (LOSS)

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Net income (loss)	\$ 56,445	\$ (144,849)
Other comprehensive income (loss):		
Unrealized gains (losses) on available-for-sale securities	91	(67)
Effect of changes in the discount rates used to measure limited-payment long duration insurance contracts	(5,656)	15,619
Other comprehensive income (loss)	(5,565)	15,552
Comprehensive income (loss)	\$ 50,880	\$ (129,297)

See accompanying notes to consolidated financial statements.

IVY PEAK CO-INVEST RE LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF SHAREHOLDER'S EQUITY

	Common stock	Additional paid-in capital	Retained earnings (deficit)	Accumulated other comprehensive income (loss)	Total shareholder's equity
<i>(\$ in thousands)</i>					
Balance as of December 31, 2023	\$ —	\$ 375,309	\$ 168,339	\$ (37,666)	\$ 505,982
Net income (loss)	—	—	(144,849)	—	(144,849)
Other comprehensive income (loss)	—	—	—	15,552	15,552
Capital contributions	250	(250)	—	—	—
Balance as of December 31, 2024	\$ 250	\$ 375,059	\$ 23,490	\$ (22,114)	\$ 376,685
Net income (loss)	—	—	56,445	—	56,445
Other comprehensive income (loss)	—	—	—	(5,565)	(5,565)
Return of capital	—	(56,000)	—	—	(56,000)
Dividends	—	—	(23,500)	—	(23,500)
Balance as of December 31, 2025	\$ 250	\$ 319,059	\$ 56,435	\$ (27,679)	\$ 348,065

See accompanying notes to consolidated financial statements.

IVY PEAK CO-INVEST RE LIMITED AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CASH FLOWS

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Cash flows from operating activities		
Net income (loss)	\$ 56,445	\$ (144,849)
Adjustments to reconcile net income (loss) to net cash provided by (used in) operating activities:		
Net investment and policy liability related (gains) losses	(5,680)	186,533
Net accretion and amortization	(41,311)	(27,993)
Interest credited to policy account balances less policy fees	107,606	118,028
Deferred income tax expense (benefit)	513	1,210
Changes in operating assets and liabilities:		
Change in premiums, funds withheld, and reinsurance receivable, net of reinsurance premiums payable	116,435	157,078
Change in cost of reinsurance assets	(940)	(688)
Change in accrued investment income	2	(96)
Change in policy liabilities and accruals, net	(69,369)	(100,957)
Other operating activities, net	2,203	(3,552)
Net cash provided by (used in) operating activities	165,904	184,714
Cash flows from investing activities		
Proceeds from maturities of available-for-sale fixed maturity securities	6,000	—
Proceeds from disposals of other investments	83	—
Purchase of available-for-sale fixed maturity securities	—	(10,714)
Purchase of other investments	(1,251)	(12,025)
Net cash provided by (used in) investing activities	4,832	(22,739)
Cash flows from financing activities		
Additions to contractholder deposit funds	170,077	162,507
Withdrawals from contractholder deposit funds	(327,374)	(332,863)
Capital contributions	—	(250)
Issuance of common stock	—	250
Return of capital to parent	(56,000)	—
Dividends paid	(23,500)	—
Net cash provided by (used in) financing activities	(236,797)	(170,356)
Net change in cash and cash equivalents	(66,061)	(8,381)
Cash and cash equivalents, beginning of period	82,512	90,893
Cash and cash equivalents, end of period	\$ 16,451	\$ 82,512
Non-cash transactions		
Contractholder deposit funds acquired through reinsurance agreements	\$ —	\$ 2,482

See accompanying notes to consolidated financial statements.

(1) Nature of business and basis of presentation

Ivy Peak Co-Invest Re Limited (together with its subsidiaries, “Peak Re,” the “Company,” we, our, or us) was incorporated on October 29, 2021, and is a Bermuda exempted limited liability company, registered under the Insurance Act 1978 as a Class E insurer. The Company was formed under the laws of Bermuda. The Company served the reinsurance marketplace as a reinsurer primarily for transactions sourced, negotiated, and underwritten by subsidiaries of Global Atlantic Limited (Delaware) (“the Sponsor,” “Global Atlantic,” or “GALD”). The reinsurance solutions include primarily reinsurance of life and retirement blocks. The Company operates independently, leveraging Global Atlantic’s proven reinsurance expertise. Through the co-investment framework, the Company accessed an attractive opportunity to deploy the Company’s ultimate parent investor capital while assisting life and annuity companies in addressing capital, risk management, and strategic objectives. The Company’s ultimate parent has fully drawn on its capital commitments and originated reinsurance transactions taking advantage of the full capital commitment provided. As of December 31, 2025, the Company is running off the books of business originated and is not originating any new business.

The consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America (“U.S. GAAP”), which differ in certain respects from those followed in reports to the Bermuda Monetary Authority (the “BMA”), the insurance regulatory authority of Peak Re.

The consolidated financial statements reflect the reinsurance transaction entered into between Peak Re and the ceding insurance company, Global Atlantic Re Limited (“GA Re”) (“Sponsor Insurance Subsidiary”). The reinsurance transaction comprises of block reinsurance, as described in Note 11 — “Reinsurance.”

The preparation of consolidated financial statements in conformity with U.S. GAAP requires the Company to make estimates and assumptions that affect the reported amounts of assets and liabilities, the disclosure of any contingent assets and liabilities as of the date of the consolidated financial statements, and the amounts of revenues and expenses recognized during the reporting period. Amounts based on such estimates involve numerous assumptions subject to varying and potentially significant degrees of judgment and uncertainty, particularly related to the future performance of the underlying business. Actual experience could materially differ from these estimates and assumptions. The most significant estimates are those used in determining valuation and impairment of investments, valuation of embedded derivatives, and valuation of policy liabilities.

The consolidated financial statements include the results of operations and financial position of the Company and all other entities in which the Company has a controlling financial interest. All intercompany accounts and transactions have been eliminated in consolidation.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

(2) Significant accounting policies

The following are the Company's significant accounting policies and references to notes providing additional information on policies:

Accounting policy	Note
Investments	3, 4 and 5
Composition of other assets, liabilities, insurance expenses, and general and administrative expenses	6
Policy liabilities	7
Income taxes	9
Reinsurance	10

Investments

In the normal course of business, the Company enters into reinsurance transactions with the Sponsor Insurance Subsidiary and invests surplus assets in various types of investments.

Investments include the following: available-for-sale ("AFS") fixed maturity securities, funds withheld receivable at interest ceded by the Sponsor Insurance Subsidiary and other investments.

Available-for-sale fixed maturity securities

The Company primarily accounts for its fixed maturity securities (including bonds and structured securities) as available-for-sale ("AFS"). AFS fixed maturity securities are generally recorded on a trade-date basis, and are carried at fair value. Impairment associated with AFS fixed maturity securities is recognized as an allowance for credit losses. The allowance for credit losses is established either by a charge to net investment-related gains (losses) in the consolidated statements of income (loss) for securities identified as credit impaired after purchase, or by a gross-up recognition of an initial allowance for purchased credit deteriorated ("PCD") securities.

PCD securities are those purchased by the Company that were assessed at acquisition as having experienced a more-than-insignificant deterioration in credit quality since their origination. The Company considers an AFS fixed maturity security to be PCD if there are indicators of a credit loss at the acquisition date or, in the case of structured securities, if there is a significant difference between contractual cash flows and expected cash flows at acquisition. The initial amortized cost for a PCD security equals the purchase price plus the initial allowance for credit losses. The initial allowance for credit losses is determined using a discounted cash flow method, based on the best estimate of the present value of cash flows expected to be collected. After purchase, the accounting for a PCD security is generally consistent with that applied to all other securities.

Unrealized gains and losses on AFS fixed maturity securities, net of tax, are reported in accumulated other comprehensive income (loss) in the consolidated balance sheets. Realized investment gains and losses are recognized on a first-in, first-out basis, and are reported in net investment-related gains (losses) in the consolidated statements of income (loss). The amortized cost of fixed maturity securities is adjusted for impairment charge-offs, amortization of premiums, and accretion of discounts. Such amortization and accretion is calculated using the effective yield method and included in net investment income (loss) in the consolidated statements of income (loss).

For structured securities, the Company recognizes interest income utilizing a constant effective yield based on estimated cash flows generated from internal models utilizing interest rate, default and

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

prepayment assumptions. Effective yields for structured securities that are not of high credit quality are recalculated and adjusted prospectively based on changes in expected undiscounted future cash flows, after consideration of any appropriate recognition or release of an allowance for credit losses. For structured securities that are of high credit quality, effective yields are recalculated based on payments received and updated prepayment expectations, and amortized cost is adjusted to the amount that would have existed had the new effective yield been applied since acquisition, with a corresponding charge or credit to net investment income (loss). Prepayment fees are recorded when earned in net investment income in the consolidated statements of income (loss).

The Company generally suspends accrual of interest for securities that are more than 90 days past due, and reverses any related accrued interest to net investment income (loss) in the consolidated statements of income (loss). When a security is in non-accrual status, coupon payments are recognized as interest income as cash is received, subject to consideration as to the overall collectability of the security. A security is returned to accrual status when the Company determines that the collection of amounts due is probable. The allowance for credit losses excludes accrued interest from the amortized cost basis for which losses are estimated.

Funds withheld receivable at interest

Funds withheld receivable at interest represent receivables for amounts contractually withheld by the Sponsor Insurance Subsidiary, in accordance with reinsurance agreements in which the Company acts as the reinsurer. While the assets in funds withheld are legally owned by the ceding company, the assets are separately identified and held in trusts for the benefit of the Company. All economic rights and obligations on the assets accrue to the Company. The assets in the funds withheld segregated accounts are typically managed by an investment manager, who periodically settles the total return from those assets.

The reinsurer has an indirect exposure to the credit risk of the underlying assets of the funds withheld account. As a result, funds withheld coinsurance agreements contain embedded derivatives, which are required to be separated from their host contracts and measured at fair value. The host contract relates to the reinsurance receivable from Sponsor Insurance Subsidiary under the funds withheld arrangement underlying the reinsurance transactions. The host contract, at inception of the reinsurance arrangement, represented the fair value of the non-cash consideration. The embedded derivative represents the difference between the fair value of the underlying assets and the carrying value of the host contract at the balance sheet date. The fair value of the embedded derivative is included in the funds withheld receivable at interest on the consolidated balance sheets, with changes in fair value recorded in net investment-related gains (losses) in the consolidated statements of income (loss).

Investments segregated in trusts to collateralize the funds withheld receivable at interest include the following: fixed maturity securities, mortgage and other loan receivables, policy loans, other investments, and derivative instruments.

Derivative instruments held within the funds withheld at interest are primarily used to hedge certain risks, including interest rate risk and equity market risk, and to a lesser extent foreign exchange risks. Derivative instruments are generally recognized at estimated fair value in funds withheld receivable at interest on the consolidated balance sheets.

Other investments

Other investments in the consolidated balance sheets include the Company's investments in investment partnerships or limited liability companies, for which the Company does not have voting control or power to direct activities. These investments are accounted for using the equity method of accounting, unless the Company's interest is so minor that it has virtually no influence over partnership

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

operating or financial policies. The equity method of accounting requires that the investments be initially recorded at cost, and the carrying amount of the investment subsequently be adjusted to recognize the Company's share of the earnings and losses of the investee. Where there is a difference between the cost of the investment and the Company's proportionate share of the equity method investee's net assets, this basis difference is accreted to net investment income (loss) over the life of the underlying assets. In applying the equity method, the Company uses financial information provided by the investee, generally on a one to three month lag due to the timing of the receipt of related financial statements. For those investments in which we are determined to have virtually no influence, the Company accounts for its investment as an equity security.

The income from the Company's equity method investments is included in net investment income (loss) in the consolidated statements of income (loss). The Company generally elects to apply the fair value option to its interests in investment partnerships or limited liability companies that would otherwise require equity method accounting. The investments that apply the fair value option, as well as those investments in which the Company is determined to have virtually no influence, are carried at fair value with unrealized gains and losses reported in net investment-related gains (losses) in the consolidated statements of income (loss). Distributions from investment partnerships that apply equity method accounting are classified as investing or operating activities within the consolidated statements of cash flows, based on the nature of the distributions.

Investment credit losses and impairment

AFS fixed maturity securities

One of the significant estimates related to AFS securities is the evaluation of those investments for credit losses. The evaluation of investments for credit losses is a quantitative and qualitative quarterly process that is subject to risks and uncertainties and involves significant estimates and judgments by management. Changes in the estimates and judgments used in such analysis can have a significant impact on the Company's consolidated statements of income (loss). Considerations relevant to the evaluation of credit losses may include the severity of any loss position, as well as changes in market interest rates, changes in business climate, management changes, litigation, government actions, and other similar factors that may impact an issuer's ability to meet current and future principal and interest obligations. Indicators of credit impairment may also include changes in credit ratings, the frequency of late payments, pricing levels, and deterioration in any, or a combination of, key financial ratios, financial statements, revenue forecasts, and cash flow projections.

For AFS fixed maturity securities in an unrealized loss position, the Company first considers the intent to sell a security, or whether it is more-likely-than-not that it will be required to sell the security, before the recovery of its amortized cost. If the Company intends to sell an AFS fixed maturity security with an unrealized loss or it is more-likely-than-not that it will be required to sell an AFS fixed maturity security with an unrealized loss before recovery of its amortized cost basis, the amortized cost is written down to fair value and a corresponding charge is recognized to net investment-related gains (losses).

For AFS fixed maturity securities in an unrealized loss position that the Company does not intend to sell, and will not be required to sell, the Company bifurcates the impairment into two components: credit impairment and non-credit impairment. Credit impairments are measured as the difference between the security's cost or amortized cost and its estimated recoverable value, which is the present value of its expected future cash flows discounted at the current effective interest rate. The estimated recoverable value is subject to a floor equal to the fair value of the security. The remaining difference between the security's fair value and the recoverable value, if any, is the non-credit impairment. Credit impairments are recognized in the allowance for credit losses on AFS fixed maturity securities, which is established via a charge to net investment-related gains (losses) in the consolidated statements of income (loss) and non-

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

credit impairments are charged to accumulated other comprehensive income (loss) in the consolidated balance sheets.

In determining the estimated recoverable value, the review of expected future cash flows for structured securities includes assumptions about key systemic risks (e.g., unemployment rates, housing prices) and loan-specific information (e.g., delinquency rates, loan-to-value ratios). Estimating future cash flows is a quantitative and qualitative process that incorporates information received from third parties, along with assumptions and judgments about the future performance of the underlying collateral. For corporate and government bonds, the recoverable value is determined using cash flow estimates that consider facts and circumstances relevant to the security and the issuer, including overall financial strength and secondary sources of repayment, as well as pending restructuring or disposition of assets.

In periods subsequent to the initial recognition of an allowance for credit losses on a fixed maturity security, whether for a PCD security or a security impaired since purchase, the Company continues to monitor credit loss expectations. Deterioration in the estimated recoverable value of a credit impaired security is recognized as an addition to the allowance for credit losses, as limited by the amount by which the security's fair value is less than amortized cost. Improvements in the estimated recoverable value of a credit impaired security or improvements in the fair value of a credit impaired security that limit the amount of the allowance result in reductions in the allowance for credit losses, which are recognized as a credit to net investment-related gains (losses) in the consolidated statements of income (loss).

Amounts are charged off against the allowance for credit losses when deemed uncollectible, or when the Company determines that it intends to sell, or more likely than not will be required to sell, the security. Charge-offs are reflected as a decrease in the allowance and a direct write down in the amortized cost of the security. If the Company recovers all or a portion of an amount previously written off on a credit impaired security, the recovery is recognized as a realized investment gain.

Funds withheld receivable at interest

The Company reviews its funds withheld receivable at interest for expected credit losses considering, among other things, relevant credit enhancements and collateral provisions in the reinsurance arrangements.

Other investments

Impairment of investments subject to the equity method of accounting is assessed whenever events or circumstances suggest that the carrying amount may not be recoverable. An impairment charge is recognized in earnings for a decline in value that is determined to be other than temporary, and is measured as the difference between the carrying amount and the fair value of the equity method investment as of the balance sheet date.

Cash and cash equivalents

Cash and cash equivalents in the consolidated balance sheets generally include short-term highly liquid investments with a maturity of three months or less from the date of acquisition. Amounts included are readily convertible to known amounts of cash, and are subject to an insignificant risk of change in value.

Policy liabilities

Policy liabilities (or collectively, "reserves") are the portion of past premiums or assessments received that are set aside to meet future policy and contract obligations as they become due. Interest accrues on

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

these reserves and on future premiums, which may also be available to pay for future obligations. The Company establishes reserves to pay future policy benefits, claims, and certain expenses for its reinsured life policies and annuity contracts.

Reserves are estimates based on models that include many actuarial assumptions and projections. These assumptions and projections, which are inherently uncertain, involve significant judgment, including assumptions as to the levels and/or timing of premiums, benefits, claims, expenses, interest credits, investment results (including equity market returns), mortality, longevity, and persistency.

The assumptions on which reserves are based are intended to represent an estimation of experience for the period that policy benefits are payable. The adequacy of these reserves and the assumptions underlying those reserves are reviewed at least annually. The Company cannot, however, determine with precision the amount or the timing of actual policy benefit payments. If actual experience is better than or equal to the assumptions, then reserves would be adequate to provide for future policy benefits and expenses. If experience is worse than the assumptions, additional reserves may be required to meet future policy and contract obligations. This would result in a charge to the Company's net income (loss) during the period in which excess policy benefits are paid, or an increase in reserves occurs.

For a majority of the Company's in-force policies, including its universal life policies and most annuity contracts, the base policy reserve is equal to the account value. For these products, the account value represents the Company's obligation to repay to the policyholder the amounts held on deposit. However, there are several significant blocks of business where additional policyholder reserves are explicitly calculated, including universal life secondary guarantees.

Fixed-rate annuities

The Company reinsures fixed-rate annuities for which the policy liabilities are determined in a manner consistent with the accounting for a deposit liability using the "effective yield method."

The liability is determined as the (1) initial consideration received; (2) plus interest; (3) less applicable policyholder benefits. The interest rate used in the prior roll forward is re-determined on each valuation date, per the effective yield method."

Interest-sensitive life products

The Company reinsures universal life and variable universal life policies, for which the base policy reserve is the policyholder account value. For these products, the account value represents the Company's obligation to repay to the policyholder the amounts held on deposit. Additional liabilities are held for other insurance benefit guarantees, if applicable.

Contractholder deposit reserves for certain assumed blocks of universal life policies where mortality risk is retained by the ceding company are accounted for as investment-type contracts. A net liability is established at inception for the net consideration, and amortized using the effective yield method.

Limited-payment contracts***Liability for future policy benefits***

The Company reinsures limited-payment contracts, for which the Company records a liability for future policy benefits. A liability for future policy benefits, which is the present value of estimated future policy benefits to be paid to or on behalf of policyholders and certain related expenses less the present value of estimated future net premiums to be collected from policyholders, is accrued as premium

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

revenue is recognized. The liability is estimated using best estimate assumptions that include mortality and lapse. These assumptions are based on judgments that consider the Company's historical experience, industry data, and other factors.

Contracts are grouped into cohorts by the underlying reinsured contract type and issue year. The liability is adjusted for differences between actual and expected experience. With the exception of the expense assumption, the Company reviews its historical and future cash flow assumptions at least annually, and updates the net premium ratio used to calculate the liability each time the assumptions are changed. The Company has elected to use expense assumptions that are locked in at contract inception and are not subsequently reviewed or updated.

At least quarterly, the Company updates its estimate of cash flows expected over the entire life of a group of contracts, using actual historical experience and current future cash flow assumptions. These updated cash flows are discounted using the discount rate or curve on the original reinsurance contract issue date to calculate the revised net premiums and net premium ratio, which are used to derive an updated liability for future policy benefits. This amount is then compared to the carrying amount of the liability before the updating of cash flow assumptions to determine the current period change in liability estimate. This current period change in the liability is the liability remeasurement gain or loss, and is presented parenthetically as a separate component of benefit expense in the consolidated statements of income (loss).

The discount rate assumption is a spot rate yield curve that is derived based on upper medium grade (low credit risk) fixed-income instruments with similar duration to the liability. The Company uses one or more external indices of corporate credit issues as its proxy for these instruments. The discount rate assumption is updated quarterly and used to remeasure the liability at the reporting date, with the resulting change in the discount rate reflected in other comprehensive income (loss) ("OCI"). For liability cash flows between two market observable points on the yield curve, the Company interpolates the effective yield by holding the marginal rates constant. For liability cash flows that are projected beyond the last market-observable point on the yield curve, the Company uses the last market-observable yield level..

Limited-payment contracts

The Company reinsures limited-payment contracts, or payout annuities. These contracts subject the insurer to risks over a period that extends beyond the period or periods in which premiums are collected. These contracts may be either non-life contingent or life contingent. Non-life contingent annuities are accounted for as investment contracts. For life contingent annuities, the Company records a liability at the present value of future annuity payments and estimated future expenses calculated using expected mortality and costs, and expense assumptions. Any gross premiums received in excess of the net premium is the cost of reinsurance and is recognized separately in income over the term of the reinsured policies, on a basis consistent with the reporting of those policies for long-duration contract. Cost of reinsurance assets and liabilities are reported in cost of reinsurance assets and policy liabilities in the consolidated balance sheets.

Additional liability for death or other insurance benefits

The Company establishes additional liabilities for contracts or contract features that provide for potential benefits in addition to the account balance but are not market risk benefits or embedded derivatives. These benefits include death or other insurance benefits (e.g., universal life secondary guarantees). For these benefits, the liability is the sum of the current benefit ratio multiplied by cumulative assessments and accreted interest, less excess payments.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

In particular, the Company holds additional liabilities for universal life products with secondary guarantees, sometimes referred to as no-lapse guarantees. The additional liabilities are measured using the benefit ratio approach where excess benefits are spread over the life of the contract based on assessments collected from the policyholder. Generally, total expected excess benefit payments are the aggregate of death claims after the policyholder account value is exhausted. The exception is when the cost of insurance charges are insufficient to produce consistently positive earnings in the future. In this case, all death benefits are deemed to be excess benefits. For annuitization benefits, the benefit ratio is the present value of expected annuitization payments to be made less the accrued account balance at the expected annuitization date divided by the present value of expected assessments during the accumulation phase of the contract, discounted at the contract rate. Expected annuitization payments and related incremental claim adjustment expenses, expected assessments, and expected excess payments are calculated using discount rate, mortality, lapse, and expense assumptions.

For additional liabilities for death or other insurance benefits, the discount rate assumption is based on the contract rate at inception. The mortality, lapse, and expense assumptions are based on Company's experience, industry data, and other factors. Assumptions are reviewed and updated, if necessary, at least annually. When those assumptions are updated, the benefit ratio and the liability are remeasured, with the resulting gain or loss reflected in policy benefits and claims in the consolidated statements of income (loss).

Reinsurance

The Company co-invests in life and retirement block reinsurance transactions with its Sponsor Insurance Subsidiary. In particular, consistent with the overall business strategy, the Company assumes certain policy risks written by other insurance companies on a modified coinsurance basis. Reinsurance accounting is applied for these assumed transactions when risk transfer provisions have been met. To meet risk transfer requirements, a long-duration reinsurance contract must transfer mortality or morbidity risks, and subject the reinsurer to a reasonable possibility of a significant loss.

The cost of reinsurance, which is the difference between the amount paid for a reinsurance contract and the amount of the liabilities for policy benefits relating to the underlying reinsured contracts, is deferred and amortized over the reinsurance contract period for short-duration contracts, or over the terms of the reinsured policies on a basis consistent with the reporting of those policies for long-duration contracts. Generally, the Company amortizes cost of reinsurance based on policy count or effective yield method, retrospectively calculated based on actual and projected future cash flows. Cost of reinsurance assets and liabilities are reported in cost of reinsurance assets and policy liabilities in the consolidated balance sheets, respectively. Reinsurance contracts do not relieve the Company from its obligations to policyholders, and failure of reinsurers to honor their obligations could result in losses to the Company; consequently, allowances are established for expected credit losses, via a charge to policy benefits and claims in the consolidated statements of income (loss). The Company's funds withheld receivable at interest and reinsurance recoverable assets are reviewed for expected credit losses by considering credit ratings for each reinsurer, historical insurance industry specific default rate factors, rights of offset, expected recovery rates upon default, and the impact of other terms specific to the reinsurance arrangement.

For funds withheld agreements, the Company has the right to receive the total return on assets supporting the funds withheld receivable at interest. This indirectly exposes the Company to the credit risk of the underlying assets. As a result, funds withheld agreements are viewed as total return swaps, and accounted for as embedded derivatives. Embedded derivatives are required to be separated from the host contracts and measured at fair value, with changes in fair value recognized in net income (loss). Generally, the embedded derivative is measured as the difference between the fair value of the underlying assets and the carrying value of the host contract at the balance sheet date. The fair value of the embedded derivative is included in the funds withheld receivable at interest on the consolidated balance

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

sheets. Changes in the fair value of the embedded derivative are reported in operating activities on the consolidated statements of cash flows.

Organization expenses

Organization expenses are for startup costs required to launch the Company. These costs are expensed as incurred. Organization expenses are reported as an operating activity in the consolidated statements of cash flows.

Recognition of insurance revenue and related benefits

Premiums related to payout contracts with life contingencies are recognized in premiums in the consolidated statements of income (loss) when due from the contractholders.

Amounts received as payment for universal life and investment-type contracts are reported as deposits to contractholder account balances, and recorded in policy liabilities in the consolidated balance sheets. Revenues from these contracts consist primarily of fees assessed against the contractholder account balance for mortality, policy administration, separate account administration, and surrender charges, and are reported in policy fees in the consolidated statements of income (loss). Additionally, the Company earns investment income from the investment of contract deposits, generated through the Company's funds withheld receivable, which is reported in net investment income (loss) in the consolidated statements of income (loss).

Income taxes

The Company operates certain subsidiaries in jurisdictions where they are subject to taxation. Income taxes are provided for using the asset and liability method, under which deferred tax assets and liabilities are recognized for temporary differences between the financial reporting and tax basis of assets and liabilities. The Company evaluates the likelihood of realizing the benefit of deferred tax assets and may record a valuation allowance if, based on the weight of all available evidence, the Company determines that it is not more-likely-than-not that some or all of the tax benefit will be realized. The Company adjusts the valuation allowance if, based on its evaluation, there is a change in the amount of deferred income tax assets that are deemed more-likely-than-not to be realized.

The Company recognizes tax positions in the consolidated financial statements only when it is more-likely-than-not that the position will be sustained on examination by the relevant taxing authority, based on the technical merits of the position. A position that meets this standard is measured at the largest amount of benefit that will more-likely-than-not be realized upon effective settlement with the related taxing authority. A liability is established for differences between positions taken on a tax return and amounts recognized in the consolidated financial statements.

The Company records the effect of changes in tax laws or rates at the date of enactment. The total effect of a tax law or rate change on the deferred tax balance is recorded as a component of tax expense related to continuing operations for the period in which the law is enacted.

Future application of accounting standards**Improvements to income tax disclosures**

In December 2023, the Financial Accounting Standards Board ("FASB") issued Accounting Standards Update ("ASU") 2023-09 "Improvements to Income Tax Disclosures" ("ASU 2023-09"). ASU 2023-09 intends to enhance the transparency and decision usefulness of income tax disclosures, requiring

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

disaggregated information about an entity's effective tax rate reconciliation as well as income taxes paid. The guidance is effective for annual periods beginning after December 15, 2025, with early adoption permitted. The guidance is not expected to have a material impact on the Company's consolidated financial statements.

Measurement of Credit Losses for Accounts Receivable and Contract Assets

In July 2025, the FASB issued ASU 2025-05, "Financial Instruments—Credit Losses (Topic 326): Measurement of Credit Losses for Accounts Receivable and Contract Assets" ("ASU 2025-05"). ASU 2025-05 simplifies the application of the current expected credit loss model for current accounts receivable and current contract assets under ASC 606. The update will be effective for annual periods and interim periods in annual reporting periods beginning after December 15, 2025. Early adoption is permitted. The Company is currently evaluating the impact of adopting this guidance on its consolidated financial statements.

(3) Investments

Fixed maturity securities

The cost or amortized cost and fair value for AFS fixed maturity securities were as follows:

As of December 31, 2025	Cost or amortized cost	Gross unrealized		Fair value ⁽¹⁾
		gains	losses	
(\$ in thousands)				
AFS fixed maturity securities portfolio by type:				
Collateralized loan obligations (“CLOs”)	\$ 5,000	\$ 24	\$ —	\$ 5,024
Total AFS fixed maturity securities	\$ 5,000	\$ 24	\$ —	\$ 5,024

(1) There is no allowance for credit losses recognized as of December 31, 2025.

As of December 31, 2024	Cost or amortized cost	Gross unrealized		Fair value ⁽¹⁾
		gains	losses	
(\$ in thousands)				
AFS fixed maturity securities portfolio by type:				
CLOs	\$ 10,729	\$ —	\$ (67)	\$ 10,662
Total AFS fixed maturity securities	\$ 10,729	\$ —	\$ (67)	\$ 10,662

(1) There is no allowance for credit losses recognized as of December 31, 2024.

Securities in a continuous unrealized loss position

The following tables provide information about the Company's AFS fixed maturity securities that have been continuously in an unrealized loss position:

As of December 31, 2024	Less than 12 months		12 months or more		Total	
	Fair value	Unrealized losses	Fair value	Unrealized losses	Fair value	Unrealized losses
(\$ in thousands)						
AFS fixed maturity securities portfolio by type:						
CLOs	\$ 10,662	\$ (67)	\$ —	\$ —	\$ 10,662	\$ (67)
Total	\$ 10,662	\$ (67)	\$ —	\$ —	\$ 10,662	\$ (67)

Unrealized gains and losses can be created by changing interest rates or several other factors, including changing credit spreads. The Company had no securities in an unrealized loss position as of December 31, 2025 and 2 securities in an unrealized loss position as of December 31, 2024. The single largest unrealized loss on AFS fixed maturity securities was \$55 thousand as of December 31, 2024.

Funds withheld receivable at interest

As a reinsurance business, the Company is subject to the investment performance of the assets in the funds withheld receivable at interest. In the event of a ceding company's insolvency, the Company

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

would need to assert a claim on the assets supporting its reserve liabilities. However, the risk of loss to the Company is mitigated by its ability to offset amounts it owes the ceding company for claims or allowances against amounts owed to it from the ceding company. As of December 31, 2025, and 2024, the assets held supporting the reinsurance agreement were held by a Sponsor Insurance Subsidiary. The cedant, GA Re, has a financial strength rating of “A” from S&P.

Other investments

As of December 31, 2025, and 2024, the Company had \$21.4 million and \$17.8 million of investments in entities that own real estate, respectively. These investments qualify as equity method investments; however, the Company has elected to apply the fair value option. The Company’s maximum exposure to loss related to these investments is limited to the carrying value of these investments.

Net investment income (loss)

Net investment income (loss) is comprised primarily of interest income, including amortization of premiums and accretion of discounts, based on yields which change due to expectations in projected cash flows, and income from funds withheld receivable at interest

The components of net investment income (loss) were as follows:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Income assumed from funds withheld receivable at interest	\$ 228,592	\$ 223,796
Short-term and other investment income	1,630	3,386
Fixed maturity securities - interest and other income	669	112
Gross investment income	230,891	227,294
Less investment expenses:		
Investment management fees	5,418	5,610
Net investment income (loss)	\$ 225,473	\$ 221,684

Net investment-related gains (losses)

Net investment-related gains (losses) were as follows:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Unrealized gains (losses) on embedded derivative included in funds withheld receivable at interest	\$ 4,613	\$ (205,940)
Unrealized gains (losses) on other investments	2,380	5,779
Realized gains (losses) on funds withheld receivable at interest	(1,316)	13,223
Net investment-related gains (losses)	\$ 5,677	\$ (186,938)

(4) Derivatives

The Company has an embedded derivative related to reinsurance contracts that is accounted for on a funds withheld basis; an embedded derivative exists because the arrangement exposes the reinsurer to third-party credit risk. This embedded derivative is included in funds withheld receivable at interest in the consolidated balance sheets.

The fair value of the derivative was as follows:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Embedded derivative – funds withheld receivable at interest	\$ (34,008)	\$ (38,621)

(5) Fair value disclosure of financial instruments

The fair value of a financial instrument is the amount that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date (the exit price). The best evidence of fair value is a quoted price in an active market. If listed prices or quotations are not available, fair value is determined by reference to prices of similar instruments and quoted prices or recent prices in less active markets.

U.S. GAAP establishes a three-level valuation hierarchy, based upon observable and non-observable inputs. Observable inputs reflect market data obtained from independent sources, while unobservable inputs reflect the Company's market assumptions. The fair value hierarchy prioritizes inputs to the valuation techniques used to measure fair value, giving the highest priority to Level 1 inputs, and the lowest priority to Level 3 inputs. A financial instrument's level in the fair value hierarchy is based on the lowest level of any input that is significant to fair value measurement of the financial instrument. The three levels of the fair value hierarchy are described below:

Basis of fair value measurement

Level 1: Unadjusted quoted prices in active markets to which the Company had access at the measurement date for identical, unrestricted assets and liabilities.

Level 2: Inputs to valuation techniques are observable either directly or indirectly through quoted prices for similar instruments in active markets; quoted prices for identical or similar instruments in markets that are not active; and model-derived valuations whose inputs are observable or whose significant value drivers are observable; and

Level 3: Model-derived, where one or more inputs to the valuation techniques are significant and unobservable.

The measurement of Level 3 financial instrument fair values uses unobservable inputs that are based on management judgment and the internal determination of assumptions that market participants would use in valuing them. Valuation subjectivity increases when markets are less liquid due to the lack of more transparent, market-based inputs, which may increase the potential that estimated fair values are not reflective of the price at which an actual transaction would occur.

IVY PEAK CO-INVEST RE LIMITED AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

The following tables represent the hierarchy for the Company's assets measured at fair value on a recurring basis:

As of December 31, 2025	Level 1	Level 2	Level 3	Total
(\$ in thousands)				
Assets:				
AFS fixed maturity securities:				
CLOs	\$ —	\$ 5,024	\$ —	\$ 5,024
Total AFS fixed maturity securities	—	5,024	—	5,024
Embedded derivatives - funds withheld receivable at interest	—	—	(34,008)	(34,008)
Other investments	—	—	21,353	21,353
Total assets at fair value	\$ —	\$ 5,024	\$ (12,655)	\$ (7,631)

As of December 31, 2024	Level 1	Level 2	Level 3	Total
(\$ in thousands)				
Assets:				
AFS fixed maturity securities:				
CLOs	\$ —	\$ 10,662	\$ —	\$ 10,662
Total AFS fixed maturity securities	—	10,662	—	10,662
Embedded derivatives - funds withheld receivable at interest	—	—	(38,621)	(38,621)
Other investments	—	—	17,804	17,804
Total assets at fair value	\$ —	\$ 10,662	\$ (20,817)	\$ (10,155)

Fair value techniques and inputs

The following is a description of the valuation techniques and inputs used for instruments carried at fair value. The observability of the inputs used in the valuation determines the appropriate level in the fair value hierarchy for the respective asset or liability.

Investments

Investments, such as fixed maturity securities for which quoted market prices from active markets are not available, are priced using observable inputs, which can be verified to quoted prices, recent trading activity for identical or similar instruments, broker or dealer quotations, or alternative pricing sources, with reasonable levels of price transparency. Consideration is given to the nature of the quotations and the relationship of recent market activity to the prices provided by alternative pricing sources. Other investments having one or more significant valuation inputs that are not observable are initially valued at transaction price, which is considered to be the best initial estimate of fair value. Subsequently, the Company uses other methodologies to determine fair value, which vary based on the type of investment.

Valuation inputs and assumptions are changed when corroborated by substantive observable evidence, including values realized on sales.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

Funds withheld receivable at interest

A portion of the funds withheld receivable at interest carried at fair value represents embedded derivatives, and is valued based on the fair value of the underlying investments, which includes significant unobservable inputs.

Fair value of assets

Significant unobservable inputs

The tables below present significant unobservable inputs used to value the Company's Level 3 financial assets, and includes only those items for which information is reasonably available, such as data from internal determinations of fair value.

As of December 31, 2025				
Level 3 assets ⁽¹⁾			Valuation techniques and significant unobservable inputs	Impact of an increase in the input on fair value
(\$ in thousands)				
Other investments	\$	21,353	Discounted cash flow - discount rate	Decrease
			Discounted cash flow - terminal capitalization rate	Decrease

- (1) The funds withheld receivable at interest embedded derivative has been excluded from the above table. As discussed in Note 11 - Reinsurance, the funds withheld receivable at interest is created through funds withheld contracts. The assets supporting these receivables were held in trusts and are part of the respective counterparty's balance sheet. Accordingly, the unobservable inputs utilized in the valuation of the embedded derivative are a component of the invested assets supporting the reinsurance agreements on the Company's consolidated balance sheets.

As of December 31, 2024				
Level 3 assets ⁽¹⁾			Valuation techniques and significant unobservable inputs	Impact of an increase in the input on fair value
(\$ in thousands)				
Other investments	\$	17,804	Discounted cash flow - discount rate	Decrease
			Discounted cash flow - terminal capitalization rate	Decrease

- (1) The funds withheld receivable at interest embedded derivative has been excluded from the above table. As discussed in Note 11 - Reinsurance, the funds withheld receivable at interest is created through funds withheld contracts. The assets supporting these receivables were held in trusts and are part of the respective counterparty's balance sheet. Accordingly, the unobservable inputs utilized in the valuation of the embedded derivative are a component of the invested assets supporting the reinsurance agreements on the Company's consolidated balance sheets.

The tables below set forth a summary of gains and losses and changes in the fair value of the Company's Level 3 assets during the dates indicated:

IVY PEAK CO-INVEST RE LIMITED AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

	Year ended December 31, 2025				
	Net realized and unrealized gains (losses) included in				
	Balance, beginning of period	Income	Other comprehensive income	Net settlements / purchases	Balance, end of period
(\$ in thousands)					
Assets:					
Embedded derivative - funds withheld receivable at interest	\$ (38,621)	\$ 4,613	\$ —	\$ —	\$ (34,008)
Other investments	17,804	2,380	—	1,169	21,353
Total assets	\$ (20,817)	\$ 6,993	\$ —	\$ 1,169	\$ (12,655)

	Year ended December 31, 2024				
	Net realized and unrealized gains (losses) included in				
	Balance, beginning of period	Income	Other comprehensive income	Net settlements / purchases	Balance, end of period
(\$ in thousands)					
Assets:					
Embedded derivative - funds withheld receivable at interest	\$ 167,319	\$ (205,940)	\$ —	\$ —	\$ (38,621)
Other investments	—	5,779	—	12,025	17,804
Total assets	\$ 167,319	\$ (200,161)	\$ —	\$ 12,025	\$ (20,817)

Year ended December 31, 2025	Purchases	Issuances	Sales	Settlements	Net settlements / purchases
(\$ in thousands)					
Assets:					
Other investments	\$ 1,169	\$ —	\$ —	\$ —	\$ 1,169
Total assets	\$ 1,169	\$ —	\$ —	\$ —	\$ 1,169

Year ended December 31, 2024	Purchases	Issuances	Sales	Settlements	Net settlements / purchases
(\$ in thousands)					
Assets:					
Other investments	\$ 12,025	\$ —	\$ —	\$ —	\$ 12,025
Total assets	\$ 12,025	\$ —	\$ —	\$ —	\$ 12,025

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

(6) Composition of other assets, liabilities, insurance expenses, and general and administrative expenses

Other assets consist of the following:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Miscellaneous assets ⁽¹⁾	\$ 379	\$ 2,665
Total other assets	\$ 379	\$ 2,665

(1) Includes net affiliate receivable amount of \$353 thousand and \$2.5 million as of December 31, 2025, and 2024, respectively.

Other liabilities consist of the following:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Deferred income tax liability	\$ 1,723	\$ 1,210
Accrued expenses and other payables	939	871
Total other liabilities	\$ 2,662	\$ 2,081

Insurance expenses consist of the following:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Commission expense	\$ 1,867	\$ 1,462
Reinsurance expense allowance	10,640	8,172
Premium taxes	2,145	2,350
Excise tax and other insurance expenses	1,681	1,945
Total insurance expenses	\$ 16,333	\$ 13,929

General and administrative expenses consist of the following:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Professional services	\$ 1,795	\$ 1,756
Other miscellaneous general and administrative expenses	1,117	1,025
Total general and administrative expenses	\$ 2,912	\$ 2,781

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

(7) Policy liabilities

The following reflects the reconciliation of the components of policy liabilities to the total balance reported in the consolidated balance sheets as of the dates indicated:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Policyholders' account balances	\$ 2,252,998	\$ 2,423,296
Liability for future policy benefits	370,820	399,958
Additional liability for death or other insurance benefits	748,817	676,803
Other policy-related liabilities ⁽¹⁾	198,938	214,803
Total policy liabilities	\$ 3,571,573	\$ 3,714,860

(1) Other policy-related liabilities consist of cost of reinsurance liabilities (\$173.2 million and \$203.0 million) and outstanding claims (\$25.8 million and \$11.8 million) as of December 31, 2025, and 2024, respectively.

Policyholders' account balances

The following reflects the policyholders' account balances roll-forward and average interest rates, net amount at risk, and cash surrender value as of and for the dates indicated:

	Year ended December 31, 2025			
	Fixed rate annuities	Interest sensitive life	Payout annuities ⁽¹⁾	Total
(\$ in thousands, except percentages)				
Balance as of the beginning of the period	\$ 807,484	\$ 1,542,901	\$ 72,911	\$ 2,423,296
Issuances and premiums received	17,261	152,816	—	170,077
Benefit payments, surrenders, and withdrawals	(151,022)	(158,716)	(17,636)	(327,374)
Interest ⁽²⁾	39,629	64,574	3,403	107,606
Other activity ⁽³⁾	(1,803)	(118,862)	58	(120,607)
Balance as of the end of the period	\$ 711,549	\$ 1,482,713	\$ 58,736	\$ 2,252,998
Average interest rate	5.32 %	4.24 %	5.17 %	4.61 %
Net amount at risk ⁽⁴⁾	\$ —	\$ 15,662,369	\$ —	\$ 15,662,369
Cash surrender value ⁽⁵⁾	796,429	1,476,291	—	2,272,720

(1) Payout annuities consist of activity related to payout annuities (without life contingencies).

(2) Interest includes interest credited to policyholders' account values, and interest accreted in other components of the policyholders' account balance, including investment-type contract values, and other associated reserves.

(3) Other activity includes policy charges, fees and commissions, transfers, and assumption changes.

(4) Net amount at risk represents the difference between the face value of the life insurance policy and the reserve accumulated under that same policy.

(5) Cash surrender values are reported net of any applicable surrender charges.

IVY PEAK CO-INVEST RE LIMITED AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

	Year ended December 31, 2024			
	Fixed rate annuities	Interest sensitive life	Payout annuities ⁽¹⁾	Total
(\$ in thousands, except percentages)				
Balance as of the beginning of the period	\$ 927,831	\$ 1,600,523	\$ 88,747	\$ 2,617,101
Issuances and premiums received	5,449	158,135	1,405	164,989
Benefit payments, surrenders, and withdrawals	(169,345)	(141,006)	(22,512)	(332,863)
Interest ⁽²⁾	45,779	67,840	4,409	118,028
Other activity ⁽³⁾	(2,230)	(142,591)	862	(143,959)
Balance as of the end of the period	\$ 807,484	\$ 1,542,901	\$ 72,911	\$ 2,423,296
Average interest rate	5.40 %	4.24 %	5.37 %	4.66 %
Net amount at risk ⁽⁴⁾	\$ —	\$ 16,556,245	\$ —	\$ 16,556,245
Cash surrender value ⁽⁵⁾	895,860	1,531,498	—	2,427,358

(1) Payout annuities consist of activity related to payout annuities (without life contingencies).

(2) Interest includes interest credited to policyholders' account values and interest accreted in other components of the policyholders' account balance, including investment-type contract values, host amounts for contractholder deposits with embedded derivatives, and other associated reserves.

(3) Other activity includes policy charges, fees and commissions, transfers, and assumption changes.

(4) Net amount at risk represents the difference between the face value of the life insurance policy and the reserve accumulated under that same policy.

(5) Cash surrender values are reported net of any applicable surrender charges.

The following table presents the account values by range of guaranteed minimum crediting rates and the related range of difference, in bps, between rates being credited to policyholders and the respective guaranteed minimums. Account value, as disclosed below, differs from policyholders' account balance, as it excludes balances associated with index credits, contractholder deposit fund host balances, and other associated reserves. In addition, the policyholder account balance includes discounts and premiums on assumed business which are not reflected in the account value.

Range of guaranteed minimum crediting rates	As of December 31, 2025					
	Account values with adjustable crediting rates subject to guaranteed minimums:					Total
	At guaranteed minimum	1 - 49 bps above guaranteed minimum	50 - 99 bps above guaranteed minimum	100 - 150 bps above guaranteed minimum	Greater than 150 bps above guaranteed minimum	
(\$ in thousands, except percentages)						
1.00% - 1.99%	\$ 13,992	\$ 1,911	\$ —	\$ 120	\$ 4,070	\$ 20,093
2.00% - 2.99%	138	11	—	—	23,650	23,799
3.00% - 4.00%	396,843	195,146	70,123	147,825	36,998	846,935
Greater than 4.00%	1,263,864	125,130	1,054	710	—	1,390,758
Total	\$ 1,674,837	\$ 322,198	\$ 71,177	\$ 148,655	\$ 64,718	\$ 2,281,585
Percentage of total	73 %	14 %	3 %	7 %	3 %	100 %

IVY PEAK CO-INVEST RE LIMITED AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

Range of guaranteed minimum crediting rates	As of December 31, 2024					
	Account values with adjustable crediting rates subject to guaranteed minimums:					Total
	At guaranteed minimum	1 - 49 bps above guaranteed minimum	50 - 99 bps above guaranteed minimum	100 - 150 bps above guaranteed minimum	Greater than 150 bps above guaranteed minimum	
(\$ in thousands, except percentages)						
Less than 1.00%	\$ —	\$ —	\$ —	\$ —	\$ 607	\$ 607
1.00% - 1.99%	154	17,170	1,463	227	4,723	23,737
2.00% - 2.99%	141	11	—	—	25,416	25,568
3.00% - 4.00%	319,944	369,788	35,336	163,363	44,248	932,679
Greater than 4.00%	1,329,688	123,848	5,324	781	—	1,459,641
Total	\$ 1,649,927	\$ 510,817	\$ 42,123	\$ 164,371	\$ 74,994	\$ 2,442,232
Percentage of total	68 %	20 %	2 %	7 %	3 %	100 %

Liability for future policy benefits

The following table summarizes the balances of, and changes in, the liability for future policy benefits for limited-payment contracts for the dates indicated:

	Years ended December 31,	
	2025	2024
	Payout annuities ⁽¹⁾	
(\$ in thousands)		
Present value of expected future policy benefits		
Balance as of the beginning of the period	\$ 399,958	\$ 451,937
Balance at the original discount rate	377,911	414,271
Effect of actual variances from expected experience	(1,628)	(3,893)
Adjusted beginning of the period balance	376,283	410,378
Issuances	—	4,663
Interest	21,467	23,645
Benefit payments	(54,633)	(60,775)
Ending balance at the original discount rate	343,117	377,911
Effect of changes in discount rate assumptions	27,703	22,047
Balance as of the end of the period	370,820	399,958
Net liability for future policy benefits	\$ 370,820	\$ 399,958

(1) Payout annuities generally only have a single premium received at contract inception; as a result, the liability for future policy benefits generally would not reflect a present value for future premiums for payout annuities.

IVY PEAK CO-INVEST RE LIMITED AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

The following table summarizes the amount of gross premiums and assessments related to limited-payment contracts recognized in the consolidated statements of income (loss) during the dates indicated:

	Gross premiums and assessments	
	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Payout annuities	\$ —	\$ 4,493
Total products	\$ —	\$ 4,493

The following table reflects the weighted-average duration and weighted-average interest rates of the future policy benefit liability as of the dates indicated:

	As of December 31, 2025	As of December 31, 2024
	Payout annuities	
Weighted-average interest rates, original discount rate	6.29 %	6.26 %
Weighted-average interest rates, current discount rate	5.10 %	5.38 %
Weighted-average liability duration (years)	6.84	6.97

The following reflects the undiscounted ending balance of expected future benefit payments for limited-payment contracts as of the dates indicated:

	As of December 31, 2025	As of December 31, 2024
	Payout annuities	
(\$ in thousands)		
Expected future benefit payments, undiscounted	\$ 581,503	\$ 638,408
Expected future benefit payments, discounted (original discount rate)	343,117	377,911
Expected future benefit payments, discounted (current discount rate)	370,820	399,958

Significant inputs, judgments, and assumptions used in measuring future policy benefits

Significant policyholder behavior and other assumption inputs to the calculation of the liability for future policy benefits include discount rates and mortality. The Company reviews all assumptions at least annually, and more frequently if necessary. Accordingly, as part of the assumption review conducted during the year ended December 31, 2025, and 2024, the Company concluded that no changes in assumptions were needed.

For the years ended December 31, 2025, and 2024, the Company recognized \$(5.7) million and \$15.6 million in other comprehensive income (loss), respectively, due to changes in the future policy benefits estimate from updating discount rates. During the years ended December 31, 2025, and 2024, there were no changes to the methods used to determine the discount rates.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

Additional liability for death or other insurance benefits

The following tables reflect the additional liability for death or other insurance benefits roll-forward for the dates indicated:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Balance as of the beginning of period	\$ 676,803	\$ 611,885
Effect of changes in cash flow assumptions	(1)	—
Effect of actual variances from expected experience	2,235	2,713
Adjusted beginning of the period balance	679,037	614,598
Assessments	64,226	57,204
Benefits paid	(22,424)	(20,165)
Interest	27,978	25,166
Balance as of the end of period	\$ 748,817	\$ 676,803

The additional liability for death or other insurance benefits relates primarily to secondary guarantees on certain interest-sensitive life products

The following reflects the amount of gross assessments recognized for the death or other insurance benefits in the consolidated statements of income (loss) for the dates indicated:

	Gross assessments	
	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Total amount recognized within revenue in the consolidated statements of income (loss)	\$ 64,553	\$ 16,187

The following reflects the weighted average duration and weighted average interest rate for the additional liability for death or other insurance benefits as of the dates indicated:

	As of December 31,	
	2025	2024
Weighted-average interest, current discount rate	4.00 %	4.00 %
Weighted-average liability duration (years)	25.28	27.87

Significant inputs, judgments, and assumptions used in measuring the additional liabilities for death or other insurance benefits

Significant policyholder behavior assumption inputs to the calculation of the additional liability for death or other insurance benefits include mortality and lapse rates. The Company reviews all assumptions at least annually, and more frequently if necessary. Accordingly, as part of the assumption review conducted during the year ended December 31, 2025, assumptions for investment yields were

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

updated, resulting in a favorable \$1 thousand. As of the year ended December 31, 2024, the Company concluded that no changes in assumptions were needed.

(8) Shareholder's equity

The maximum number of the Company shares authorized for issuance is 250,000 common shares, at par value of \$1 per share.

Capital contributions

As of the year ended December 31, 2024, the Company has received \$375.1 million, respectively, in capital contributions from its parent.

Return of capital

For the year ended December 31, 2025, the Company has made a total of \$56.0 million, in returns of capital to its direct parent.

Dividends

For the year ended December 31, 2025, the Company declared and paid dividends of \$23.5 million.

Transfers of a member's interest to another party are restricted in most cases, and subject to the approval of the Company's board of directors. For information on dividend restrictions on Peak Re, please see Note 11—"Dividend restrictions and statutory information."

(9) Income taxes

Ivy Peak Co-Invest Re Limited and its respective subsidiaries are based in Bermuda and the United States.

Peak Re is not subject to Bermuda income or capital gains tax under current Bermuda law. Bermuda enacted the Corporate Income Tax Act 2023 ("CITA") on December 27, 2023. The CITA introduces a 15% corporate income tax rate, effective for tax years beginning on or after January 1, 2025. There is a five-year deferred effective date for certain groups with a limited international footprint, defined as being in six or fewer jurisdictions and having tangible assets less than €50.0 million outside of the jurisdiction where the multinational enterprise group has the highest total value of tangible assets. Peak Re is part of a multinational enterprise group and is expected to qualify for the limited international footprint exemption to defer application of the CITA until 2030. As of 2030, Peak Re is expected to have less than €750.0 million in revenue for the three years prior, and thus, it is not expected to be in scope for the corporate income tax.

The Company may be subject to a variety of transfer pricing or permanent establishment challenges by taxing authorities in various jurisdictions. The completion of tax examinations may result in changes to the amounts recognized in the Company's consolidated financial statements.

The Company holds interests in certain U.S. entities that invest in real estate, the income of which is subject to U.S. income tax. Income tax expense (benefit) of \$513 thousand and \$1.2 million has been recorded for the years ended December 31, 2025, and 2024, respectively. As of December 31, 2025, the consolidated ending net deferred tax liability was \$1.7 million.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

(10) Reinsurance

The Company has entered into a modified coinsurance agreement with a Sponsor Insurance Subsidiary whereby it assumes interest sensitive life, fixed rate annuity, and payout annuity policies on a coinsurance and on a funds withheld basis. The Company entered into an agreement with the Sponsor Insurance Subsidiary, whereby it assumed annuities on a funds withheld basis.

The effects of all reinsurance agreements on the consolidated balance sheets were as follows:

	As of December 31,	
	2025	2024
(\$ in thousands)		
Policy liabilities:		
Assumed	\$ 3,571,573	\$ 3,714,860
Total policy liabilities	\$ 3,571,573	\$ 3,714,860

The Company determines the appropriate amount of reinsurance based on evaluation of the risks accepted and on market conditions (including the availability and pricing of reinsurance). The Company evaluates the financial condition and monitors concentrations of credit risk with its Sponsor Insurance Subsidiary. Based on its review of the Sponsor Insurance Subsidiary's consolidated financial statements and reputations in the reinsurance marketplace, the Company held no allowance for uncollectible amounts as of both December 31, 2025, and 2024.

As of December 31, 2025, and 2024, respectively, the Company had \$3.5 billion and \$3.6 billion of funds withheld receivable at interest related to the coinsurance agreement. The assets supporting these receivables were held in trusts by the Sponsor Insurance company.

The effects of reinsurance on the consolidated statements of income (loss) were as follows:

	Years ended December 31,	
	2025	2024
(\$ in thousands)		
Assumed:		
Premiums	\$ —	\$ 4,493
Policy fees	153,224	159,395
Policy benefits and claims	320,420	322,016

The Company is contractually liable for U.S. federal excise taxes under the terms of the reinsurance treaties it has entered with the Sponsor Insurance Subsidiary. The obligation is calculated as 1% of premiums paid to the Company on a cash basis. The Company incurred \$1.7 million, and \$1.9 million of excise tax expense for the years ended December 31, 2025, and 2024, respectively. The excise tax expense is included in insurance expenses in the consolidated statements of income (loss).

(11) Dividend restrictions and statutory information

Peak Re

Peak Re is subject to the Bermuda Insurance Act 1978, as amended, and related regulations (the “Bermuda Insurance Act”).

The Bermuda Insurance Act limits the ability of Peak Re to pay dividends or make capital distributions by stipulating certain margin and solvency requirements, and by requiring approval from the BMA prior to a distribution of 15% or more of an insurer’s total statutory capital as reported on its prior year statutory balance sheet. Moreover, an insurer must submit an affidavit to the BMA, sworn by at least two directors and the principal representative in Bermuda of the Bermuda insurer, at least seven days prior to payment of any dividend which would exceed 25% of an insurer’s total statutory capital and surplus as reported on its prior year statutory balance sheet. The affidavit must state that, in the opinion of those swearing, the declaration of such dividend has not caused the insurer to fail to meet its relevant margins (“Bermuda Dividend Affidavit”). Accordingly, Peak Re may distribute up to: (1) 100% of statutory surplus; plus (2) an amount less than 15% of statutory capital, upon providing the BMA with a Bermuda Dividend Affidavit and meeting applicable solvency requirements, without BMA approval.

With respect to margin and solvency requirements, the Bermuda Insurance Act prohibits Peak Re from declaring or paying any dividends during any financial year if it is in breach of its solvency margin, or if the declaration or payment of such dividends would cause such a breach. If the insurer has failed to meet its minimum solvency margin on the last day of any financial year, such an insurer will also be prohibited, without the approval of the BMA, from declaring or paying any dividends during the next financial year. Peak Re is also prohibited from declaring or paying a dividend when it has failed to comply with its enhanced capital requirement, until such noncompliance is rectified.

As of December 31, 2025, Peak Re exceeded all relevant capital requirements. The aggregate amount of dividends and capital distributions permitted to be made from Peak Re, without a required approval from or a submission of an affidavit to the BMA during the year ended December 31, 2026, is \$142.0 million. Dividends and capital distributions made by Peak Re during the year ended December 31, 2025 did not exceed the foregoing thresholds.

Statutory financial information

The Bermuda Insurance Act requires Peak Re to prepare and file statutory consolidated financial statements with the BMA in accordance with BMA prescribed or permitted practices that may differ from U.S. GAAP. For example, Bermuda statutory surplus differs from U.S. GAAP primarily due to a modification that permits Peak Re not to measure the embedded derivative included within certain funds withheld coinsurance agreements at fair value.

The Bermuda Insurance Act also requires Peak Re to maintain certain measures of solvency and liquidity. Peak Re’s Bermuda statutory consolidated financial statements form the basis for assessing Peak Re’s liquidity, minimum solvency margin, and class of registration. These consolidated financial statements in turn form the basis for the preparation of the insurer’s economic balance sheet. The economic balance sheet approach is a principles-based valuation approach to determine an insurer’s capital adequacy, and is used as the basis for determination of Peak Re’s enhanced capital requirement.

(12) Commitments and contingencies

Contingencies

Legal matters

As of the date of these consolidated financial statements, the Company is not involved in judicial, regulatory, or arbitration matters. The Company expects that they may, from time to time, be involved in judicial, regulatory, and arbitration proceedings concerning matters arising in connection with the conduct of the Company's business. The Company will, at such time, assess the reasonable probability that a loss may be incurred, and reflect any such reasonably probable loss on its consolidated financial statements.

(13) Subsequent events

The Company evaluated all events and transactions through April 23, 2026, the date the accompanying consolidated financial statements were available to be issued, that would merit recognition or disclosures in the consolidated financial statements, and determined that nothing arose that merits recognition or disclosure.